

CHAPTER- SIX

DIRECTING FUNCTION

5.1. MEANING AND THE NEED FOR LEADERSHIP

Leading is the art or process of influencing people so that they will strive willingly towards the achievement of group goals. Leadership is the ability to secure desirable actions from a group of followers voluntarily without the use of coercion. It is the process of directing and inspiring workers to perform the tasks.

Leading is establishing direction and influencing others to follow that direction. But this definition isn't as simple as it sounds because leadership has many variations and different areas of emphasis.

Common to all definitions of leadership is the notion that leaders are individuals who, by their actions, facilitate the movement of a group of people toward a common or shared goal. This definition implies that leadership is an influence process.

5.2. CONCEPT AND MEANINGS OF LEADERSHIP THEORIES

5.2.1. EARLY THEORIES OF LEADERSHIP

5.2.1.1. LEADERSHIP TRAIT THEORIES

Leadership research in the 1920s and 1930s focused on isolating leader traits—that is, characteristics—that would differentiate leaders from non leaders. Some of the traits studied included physical stature, appearance, social class, emotional stability, fluency of speech, and sociability.

The seven traits shown to be associated with effective leadership identified are described briefly below.

- 1. Drive:** Leaders exhibit a high effort level. They have a relatively high desire for achievement, they are ambitious, they have a lot of energy, they are tirelessly persistent in their activities, and they show initiative.
- 2. Desire to lead:** Leaders have a strong desire to influence and lead others. They demonstrate the willingness to take responsibility.
- 3. Honesty and integrity:** Leaders build trusting relationships with followers by being truthful or non deceitful and by showing high consistency between word and deed.
- 4. Self-confidence:** Followers look to leaders for an absence of self-doubt. Leaders, therefore, need to show self-confidence in order to convince followers of the rightness of their goals and decisions.
- 5. Intelligence:** Leaders need to be intelligent enough to gather, synthesize, and interpret large amounts of information, and they need to be able to create visions, solve problems, and make correct decisions.

6. Task-related Characteristics: Achievement drive, initiative, persistence, enterprise and task orientation.

7. Personality: Alertness, dominance, extroversion, independence, creativity and self-confidence

Despite the best efforts of researchers, it proved impossible to identify a set of traits that would *always* differentiate a leader (the person) from a non leader. Maybe it was a bit optimistic to think that a set of consistent and unique traits would apply universally to all effective leaders. However, later attempts to identify traits consistently associated with *leadership* (the process of leading, not the person) were more successful.

Researchers eventually recognized that traits alone were not sufficient for identifying effective leaders since explanations based solely on traits ignored the interactions of leaders and their group members as well as situational factors. Possessing the appropriate traits only made it more likely that an individual would be an effective leader. Therefore, leadership research from the late 1940s to the mid-1960s concentrated on the preferred behavioral styles that leaders demonstrated. Researchers wondered whether something unique in what effective leaders *did*—in other words, in their *behavior*—was the key.

5.2.1.2. LEADERSHIP BEHAVIOR THEORIES

Researchers hoped that the **behavioral theories** approach would provide more definitive answers about the nature of leadership than did the trait theories. The four main leader behavior studies are:

I. University of Iowa Studies:

The University of Iowa studies explored three leadership styles to find which was the most effective. These leadership styles were autocratic, democratic, & laissez faire/free rein.

a. Autocratic Leadership style:

The **autocratic style** described a leader who dictated work methods, made unilateral decisions, and limited employee participation.

Advantage

1. It is useful when subordinate is new and has no experience.
2. In the crisis or emergency situation it can increase efficiency and get quicker result.
3. It is useful when subordinates are not interested in seeking responsibility or feel insecure at the job.

Disadvantage:

1. One-way communication without feedback leads to misunderstanding and communication breakdown.
2. It fails to develop workers commitment to the accomplishment of objectives.
3. It is unsuitable when the workers are knowledgeable about their job.

b. Democratic Leadership style

The **democratic style** described a leader who involved employees in decision making, delegated authority, and used feedback as an opportunity for coaching employees.

Advantage

1. Active participation of workers and assures rising of productivity and satisfaction.
2. Workers develop greater sense of self-worth due to the importance given to their ideas.
3. Workers become more committed to change
4. It Results in higher employees morale

Disadvantage

1. The democratic leadership requires some favorable conditions. Workers must be literate, informed and organized.
2. The assumption that all workers are genuinely interested in the organization and their goals are successfully fused with the organization's goals may not always be valid.
3. Some group members may feel alienated if their ideas are not accepted for action.
4. It is very time consuming and too many viewpoints and ideas may make the solid decision.
5. Some managers may be uncomfortable with the approach.

c. Laissez-faire/free rein/leadership style:

Finally, the **laissez-faire style** leader let the group make decisions and complete the work in whatever way it saw fit.

Advantage

1. It creates an environment of freedom for individual and the team spirit.
2. It is highly creative, with a free and informal work environment.
3. It is very useful where people are highly motivated and achievement oriented.

Disadvantage

1. It may result in disorganized activities, which may lead to inefficiency and chaos.
2. Insecurity and frustration may be developed due to lack of specific decision making authority and guidance.
3. Some members may put their own interests over the interest of team.

II. The Ohio State Studies:

The Ohio State studies identified two important dimensions of leader behavior. Beginning with a list of more than 1,000 behavioral dimensions, the researchers eventually narrowed it down to just two that accounted for most of the leadership behavior described by group members. The first was called **initiating structure**, which referred to the extent to which a leader defined his or her role and the roles of group members in attaining goals. It included behaviors that involved attempts to organize work, work relationships, and goals. The second was called **consideration**, which was defined as the extent to which a leader had work relationships characterized by mutual trust and respect for group members' ideas and feelings. A leader who was high in consideration helped group members with personal problems, was friendly and approachable, and treated all group members as equals. He or she showed concern for (was considerate of) his or her followers' comfort, well-being, status, and satisfaction. Research found that a leader who

was high in both initiating structure and consideration (a **high–high leader**) sometimes achieved high group task performance and high group member satisfaction, but not always.

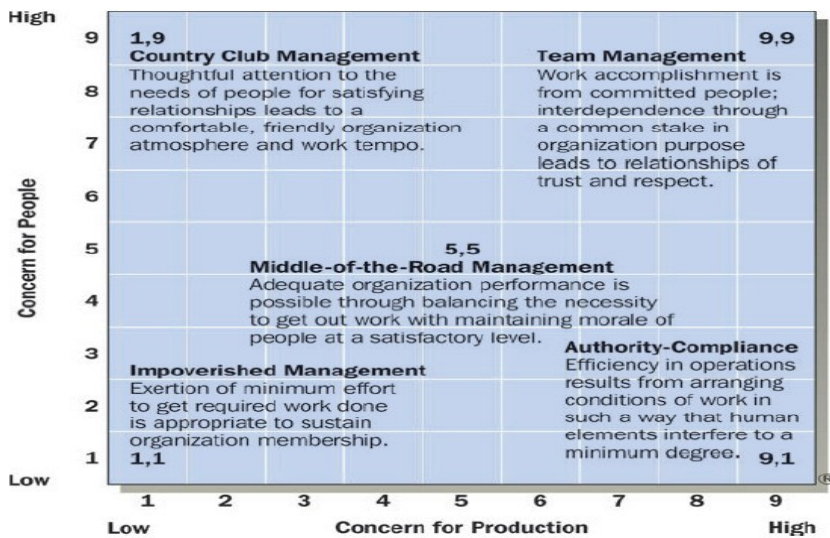
III. University of Michigan Studies:

Leadership studies conducted at the University of Michigan at about the same time as those being done at Ohio State also hoped to identify behavioral characteristics of leaders that were related to performance effectiveness. The Michigan group also came up with two dimensions of leadership behavior, which they labeled employee oriented and production oriented. Leaders who were *employee oriented* were described as emphasizing interpersonal relationships. The *production-oriented* leaders, in contrast, tended to emphasize the task aspects of the job. Unlike the other studies, the Michigan researchers concluded that leaders who were **employee oriented were able to get high group productivity and high group member satisfaction.**

IV. The Managerial Grid:

The behavioral dimensions from these early leadership studies provided the basis for the development of a two-dimensional grid for appraising leadership styles. This **managerial grid** used the behavioral dimensions “concern for people” (the vertical part of the grid) and “concern for production” (the horizontal part of the grid) and evaluated a leader’s use of these behaviors, ranking them on a scale from 1 (low) to 9 (high). Although the grid had 81 potential categories into which a leader’s behavioral style might fall, only five styles were named: impoverished management (1,1 or low concern for production, low concern for people), task management (9,1 or high concern for production, low concern for people), middle-of-the-road management (5,5 or medium concern for production, medium concern for people), country club management (1,9 or low concern for production, high concern for people), and team management (9,9 or high concern for production, high concern for people). Of these five styles, the researchers concluded that managers performed best when using a 9,9 style. Unfortunately, the grid offered no answers to the question of what made a manager an effective leader; it only provided a framework for conceptualizing leadership style. In fact, little substantive evidence supports the conclusion that a 9,9 style is most effective in all situations. Leadership researchers were discovering that predicting leadership success involved something more complex than isolating a few leader traits or preferable behaviors. They began looking at situational influences. Specifically, which leadership styles might be suitable in different situations and what were these different situations?

Fig: 5.2: The Leadership Grid



The four main leader behavior studies are summarized below:

Table 5.1: Summary of Behavioral Theories of Leadership

	Behavioral dimension	Conclusion
University of Iowa	Democratic style: involving subordinates, delegating authority, and encouraging participation Autocratic style: dictating work methods, centralizing decision making, and limiting participation Laissez-faire style: giving group freedom to make decisions and complete work	Democratic style of leadership was most effective, although later studies showed mixed results.
Ohio State	Consideration: being considerate of followers' ideas and feelings Initiating structure: structuring work and work relationships to meet job goals	High-high leader (high in consideration and high in initiating structure) achieved high subordinate performance and satisfaction, but not in all situations
University of Michigan	Employee oriented: emphasized interpersonal relationships and taking care of employees' needs Production oriented: emphasized technical or task aspects of job	Employee-oriented leaders were associated with high group productivity and higher job satisfaction.
Managerial Grid	Concern for people: measured leader's concern for subordinates on a scale of 1 to 9 (low to high) Concern for production: measured leader's concern for getting job done on a scale 1 to 9 (low to high)	Leaders performed best with a 9,9 style (high concern for production and high concern for people).

5.2.2. CONTINGENCY THEORY OF LEADERSHIP

“The corporate world is filled with stories of leaders who failed to achieve greatness because they failed to understand the context they were working in.” In this section, three contingency theories—Fiedler, Hersey-Blanchard, and path-goal are examined. Each looks at defining leadership style and the situation, and attempts to answer the *if-then* contingencies (that is, *if* this is the context or situation, *then* this is the best leadership style to use).

5.2.2.1. The Fiedler Model

The first comprehensive contingency model for leadership was developed by Fred Fiedler. The **Fiedler contingency model** proposed that effective group performance depended upon properly matching the leader’s style and the amount of control and influence in the situation. The model was based on the premise that a certain leadership style would be most effective in different types of situations. The keys were to (1) define those leadership styles and the different types of situations, and then (2) identify the appropriate combinations of style and situation. In order to understand Fiedler's model, let's look at the first of these **variables—leadership style**.

Fiedler proposed that a **key factor in leadership success** was an individual’s **basic leadership style**. He further suggested that a person's style was one of two types: task oriented or relationship oriented. To measure a leader's style, Fiedler developed the **least-preferred coworker (LPC) questionnaire**. This questionnaire contained 18 pairs of contrasting adjectives—for example, pleasant–unpleasant, cold–warm, boring–interesting, or friendly–unfriendly. Respondents were asked to think of all the coworkers they had ever had and to describe that one person they *least enjoyed* working with by rating him or her on a scale of 1 to 8 (the 8 always described the positive adjective out of the pair and the 1 always described the negative adjective out of the pair) for each of the 18 sets of adjectives. Fiedler believed that you could determine a person's basic leadership style on the basis of the responses to the LPC questionnaire. What were his descriptions of these styles?

Fiedler believed that if the leader described the least preferred co-worker in relatively positive terms (in other words, a "high" LPC score), then the respondent was primarily interested in good personal relations with co-workers. That is, if you described the person that you least liked to work with in favorable terms, your style would be described as *relationship oriented*. In contrast, if you saw the least preferred co-worker in relatively unfavorable terms (a low LPC score), you were primarily interested in productivity and getting the job done; thus, your style would be labeled as *task oriented*. Fiedler did acknowledge that there was a small group of people who fell in between these two extremes and who did not have a cut-and-dried personality sketch. One other point we need to make is that Fiedler assumed that a person's leadership style was always the same (fixed) regardless of the situation. In other words, if you were a relationship-oriented leader, you'd always be one, and the same if you were task oriented.

After an individual's basic leadership style had been assessed through the LPC, it was necessary to evaluate the situation in order to match the leader with the situation. Fiedler's research uncovered three contingency dimensions that defined the **key situational factors for determining leader effectiveness**. These were:

- **Leader–member relations:** the degree of confidence, trust, and respect employees had for their leader; rated as either good or poor.

- **Task structure:** the degree to which job assignments were formalized and structured; rated as either high or low.
- **Position power:** the degree of influence a leader had over power-based activities such as hiring, firing, discipline, promotions, and salary increases; rated as either strong or weak.

Each leadership situation was evaluated in terms of these three contingency variables. Mixing these variables produced **eight possible situations** in which a leader could find himself or herself. These eight situations categorized under three situations: highly favorable, moderately favorable, & highly unfavorable & then combined with appropriate styles.

Reviews of the major studies undertaken to test the overall validity of Fiedler's model have shown considerable evidence to support the model. However, it wasn't without shortcomings. For instance, **additional variables** were probably needed to fill in some gaps in the model. Moreover, there were **problems with the LPC**, and the practicality of it needed to be addressed. In addition, it's probably unrealistic to assume that a **person can't change his or her leadership style** to fit the situation. Effective leaders can, and do, change their styles to meet the needs of a particular situation. Finally, the contingency **variables were complex and difficult for practitioners to assess**. It was often difficult in practice to determine how good the leader-member relations were, how structured the task was, and how much positions power the leader had. Despite its shortcomings, the Fiedler model provided evidence that effective leadership style needed to reflect situational factors.

5.2.2.2. Hersey and Blanchard's Situational Leadership Theory

Paul Hersey and Ken Blanchard developed a leadership theory that has gained a strong following among management development specialists. This model, called **situational leadership theory (SLT)**, is a contingency theory that focuses on **followers' readiness**. Before we proceed, two points need clarification: Why a leadership theory focuses on the followers and what is meant by the term *readiness*.

The emphasis on the followers in leadership effectiveness reflects the reality that it *is* the followers who accept or reject the leader. Regardless of what the leader does, the group's effectiveness depends on the actions of the followers. This important dimension has been overlooked or underemphasized in most leadership theories. And **readiness**, as defined by Hersey and Blanchard, refers to the extent to which people have the **ability and willingness** to accomplish a specific task.

SLT uses the same two leadership dimensions that Fiedler identified: task and relationship behaviors. However, Hersey and Blanchard go a step further by considering each as either high or low and then combining them into four specific leadership styles described as follows:

- ♣ **Telling** (high task–low relationship): The leader defines roles and tells people what, how, when, and where to do various tasks.
- ♣ **Selling** (high task–high relationship): The leader provides both directive and supportive behavior.
- ♣ **Participating** (low task–high relationship): The leader and followers share in decision making; the main role of the leader is facilitating and communicating.
- ♣ **Delegating** (low task–low relationship): The leader provides little direction or support.

The final component in the model is the four stages of follower readiness:

- ♣ **R1:** People are both *unable and unwilling* to take responsibility for doing something. Followers aren't competent or confident.
- ♣ **R2:** People are *unable but willing* to do the necessary job tasks. Followers are motivated but lack the appropriate skills.
- ♣ **R3:** People are *able but unwilling* to do what the leader wants. Followers are competent, but don't want to do something.
- ♣ **R4:** People are both *able and willing* to do what is asked of them.

SLT essentially views the leader–follower relationship as like that of a parent and a child. Just as a parent needs to relinquish control when a child becomes more mature and responsible, so, too, should leaders. As followers reach higher levels of readiness, the leader responds not only by decreasing control over their activities but also decreasing relationship behaviors. The SLT says if followers are at R1 (*unable and unwilling* to do a task), the leader needs to use the telling style and give clear and specific directions; if followers are at R2 (*unable and willing*), the leader needs to use the selling style and display high task orientation to compensate for the followers' lack of ability and high relationship orientation to get followers to “buy into” the leader's desires; if followers are at R3 (*able and unwilling*), the leader needs to use the participating style to gain their support; and if employees are at R4 (both *able and willing*), the leader doesn't need to do much and should use the delegating style.

SLT has intuitive appeal. It acknowledges the importance of followers and builds on the logic that leaders can compensate for ability and motivational limitations in their followers. However, research efforts to test and support the theory generally have been disappointing. Possible explanations include internal inconsistencies in the model as well as problems with research methodology. Despite its appeal and wide popularity, we have to be cautious about any enthusiastic endorsement of SLT.

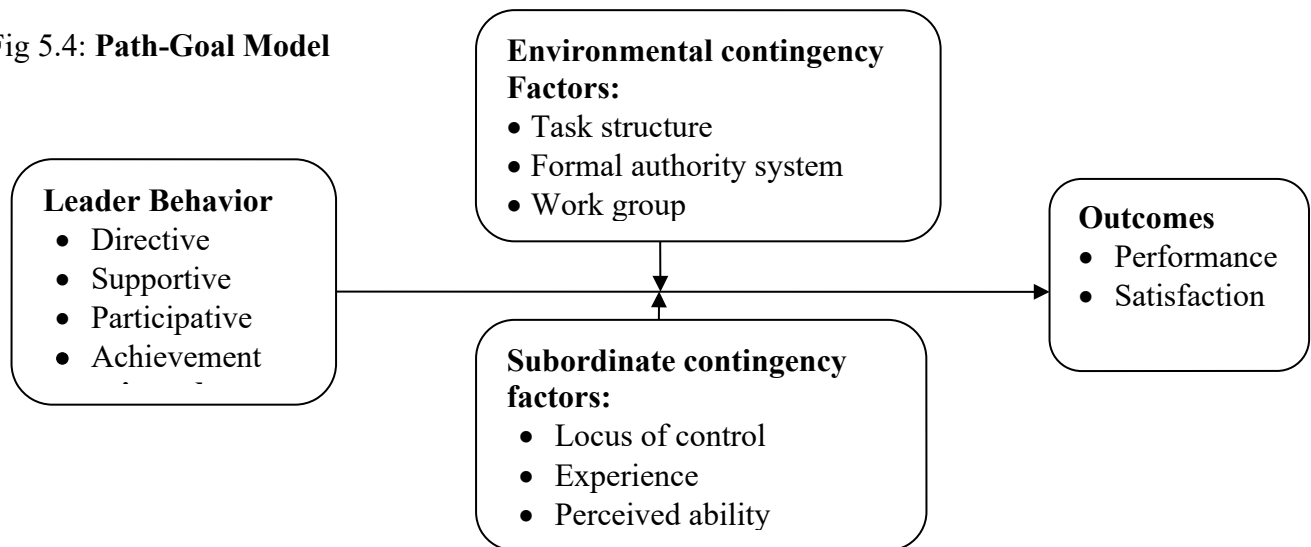
5.2.2.3. Path-Goal Model

Another approach to understanding leadership is **path-goal theory**, which states that the leader's job is to assist followers in attaining their goals and to provide direction or support needed to ensure that their goals are compatible with the goals of the group or organization. Developed by Robert House, path-goal theory takes key elements from the **expectancy theory of motivation**. The term *path-goal* is derived from the belief that effective leaders remove the roadblocks and pitfalls so that followers have a clearer path to help them get from where they are to the achievement of their work goals. House identified four leadership behaviors:

- ♣ *Directive leader:* Lets subordinates know what's expected of them, schedules work to be done, and gives specific guidance on how to accomplish tasks.
- ♣ *Supportive leader:* Shows concern for the needs of followers and is friendly.
- ♣ *Participative leader:* Consults with group members and uses their suggestions before making a decision.
- ♣ *Achievement oriented leader:* Sets challenging goals and expects followers to perform at their highest level.

In contrast to Fiedler's view that a leader couldn't change his or her behavior, House assumed that leaders are flexible and can display any or all of these leadership styles depending on the situation.

Fig 5.4: **Path-Goal Model**



As Fig 5.4 illustrates, path-goal theory proposes two situational or contingency variables that moderate the leadership behavior–outcome relationship: those in the *environment* that are outside the control of the follower (factors including task structure, formal authority system, and the work group) and those that are part of the personal characteristics of the *follower* (including locus of control, experience, and perceived ability). Environmental factors determine the type of leader behavior required if subordinate outcomes are to be maximized; personal characteristics of the follower determine how the environment and leader behavior are interpreted. The theory proposes that a leader's behavior won't be effective if it's redundant with what the environmental structure is providing or is incongruent with follower characteristics. For example, some predictions from path-goal theory are:

- Directive leadership leads to greater satisfaction when tasks are ambiguous or stressful than when they are highly structured and well laid out. The followers aren't sure what to do, so the leader needs to give them some direction.
- Supportive leadership results in high employee performance and satisfaction when subordinates are performing structured tasks. In this situation, the leader only needs to support followers, not tell them what to do.

- Directive leadership is likely to be perceived as redundant among subordinates with high perceived ability or with considerable experience. These followers are quite capable so they don't need a leader to tell them what to do.
- The clearer and more bureaucratic the formal authority relationships, the more leaders should exhibit supportive behavior and deemphasize directive behavior. The organizational situation has provided the structure as far as what is expected of followers, so the leader's role is simply to support.
- Directive leadership will lead to higher employee satisfaction when there is substantive conflict within a work group. In this situation, the followers need a leader who will take charge.
- Subordinates with an internal locus of control will be more satisfied with a participative style. Because these followers believe that they control what happens to them, they prefer to participate in decisions.
- Subordinates with an external locus of control will be more satisfied with a directive style. These followers believe that what happens to them is a result of the external environment so they would prefer a leader that tells them what to do.
- Achievement-oriented leadership will increase subordinates' expectancies that effort will lead to high performance when tasks are ambiguously structured. By setting challenging goals, followers know what the expectations are.

Testing path-goal theory has not been easy. A review of the research suggests mixed support. To summarize the model, however, an employee's performance and satisfaction are likely to be positively influenced when the leader chooses a leadership style that compensates for shortcomings in either the employee or the work setting. However, if the leader spends time explaining tasks that are already clear or when the employee has the ability and experience to handle them without interference, the employee is likely to see such directive behavior as redundant or even insulting.

6.3. HUMAN MOTIVATION

Concept of Motivation

Motivation refers to the forces to a person that arouse desire. Motivating means to stimulate people through different ways, for example by providing reward. The study of motivation helps managers to understand **what derives people to initiate an action, what influence their choice of action and what are the persisting action overtime**. People have needs that translate in to an internal tension that motivate the specific behavior to fulfill the need. Reward is a means of motivating other or satisfying the needs of others. To the extent the behavior is successful (rewarded) the need is satisfied. The reward informs the person that the behavior was appropriate and can be used again in the future. The ultimate objective (motive) of any individuals is a reward. Every behavior is directed towards a reward. Reward can be intrinsic or extrinsic.

- **Intrinsic reward:** is the satisfaction of a person gets as a result of success.
- **Extrinsic reward:** is the reward given by another (outsider) for the success (good Performance) e.g., Promotion.

Motivation is a human psychological characteristic that contributes to a persons' degree of commitment. It includes the factors that cause, channel and sustain human behavior in a particular committed direction. Motivating is the management process of influencing people's behavior.

Motivation is a predisposition to act in specific goal directed manner (**Hellriegel and Slocum**).

6.4. THEORIES OF MOTIVATION

Motivation theories can be divided in to two major categories. These are:

I. Motivation theories that focus on needs (content theory of motivation)

II. Motivation theories that focus on behaviors (process theory of motivation)

I. Motivation theories that focus on needs (content theory of motivation)

Several motivation theorists, including:

- Abraham Maslow,
- David McClelland,
- Frederick Herzberg, and
- Clayton Alderfer, have provided theories to help explain needs as a source of motivation.

1. MASLOW'S HIERARCHY OF NEEDS

Abraham Harold Maslow defined **need** as a physiological or psychological deficiency that a person feels the compulsion to satisfy. This need can create tensions that can influence a person's work attitudes and behaviors. Maslow formed a theory based on his definition of need that proposes that humans are motivated by multiple needs and that these needs exist in a hierarchical order.

His premise is that only an unsatisfied need can influence behavior; a satisfied need is not a motivator. Maslow's theory is based on the following two principles:

Deficit principle: A satisfied need no longer motivates behavior because people act to satisfy deprived needs.

Progression principle: The five needs he identified exist in a hierarchy, which means that a need at any level only comes into play after a lower-level need has been satisfied.

In his theory, Maslow identified five levels of human needs. These are:

a. PHYSIOLOGICAL NEEDS: These are the basic needs for sustaining human life such as food, water, shelter and clothing. (Physiological needs are hunger, thirst, sex, sleep, rest, exercise, etc.). Until these needs are satisfied to the degree necessary to maintain life, other needs will not motivate people.

b. SECURITY OR SAFETY NEEDS: These are the needs to be free of physical danger and of the fear of losing a job, property or shelter etc. (Safety needs is protection from immediate or future danger to physical well-being, protection from immediate or future threat to psychological or economic well-being.)

c. **AFFILIATION OR ACCEPTANCE NEEDS:** Since people are social beings, they need a sense of belongingness and to be accepted by others. They need recognition and affiliation from others. (Social needs include love and affection, friendships, association with others, affiliation etc.)

d. **SELF ESTEEM:** Once people begin to satisfy their need to belong, they tend to want to be held in esteem both by themselves and by others. This kind of need produces such satisfactions as power, prestige, respect, status and self-confidence.

e. **SELF-ACTUALIZATION:** Maslow regards this as the highest need in his hierarchy. It is the desire to become what one is capable of becoming – to maximize one's potential and to accomplish something. (Self actualizing factors are realizing one's own potential, self development activities, behaving creatively, problem centered orientation to life, identifying with the problems of humanity, acceptance of self and others.)

Fig-6.1: Maslow's hierarchy of needs



2. Mc CLELLAND'S NEED THEORY:

DAVID C. Mc CLELLAND has contributed to the understanding of motivation by identifying three types of basic motivating needs as follows:

- Need for Achievement
- Need for Power
- Need for Affiliation.

a. **NEED FOR ACHIEVEMENT:** A strong need for achievement is a drive to succeed and excel. It depends on how well individuals are motivated to perform their work tasks. People with a high need for achievement like to take responsibility for solving problems; they tend to set moderately difficult goals for themselves and take calculated risks to meet those goals; and they greatly value feedback on how well they are doing.

b. **NEED FOR POWER:** The need for power deals with the degree of control a person desires over his or her situation. People think about their control and influence they have over others and how they can influence to change people's behavior, gain authority and status and dominate decisions. Manipulating and controlling others satisfy their needs.

c. **NEED FOR AFFILIATION:** Many people spend much of their time thinking about developing warm, friendly, personal relationships with others in the organization. They have a high need for affiliation; more sensitive to others feelings, seek to establish friendly relationships in groups, share agreeable and supportive ideas.

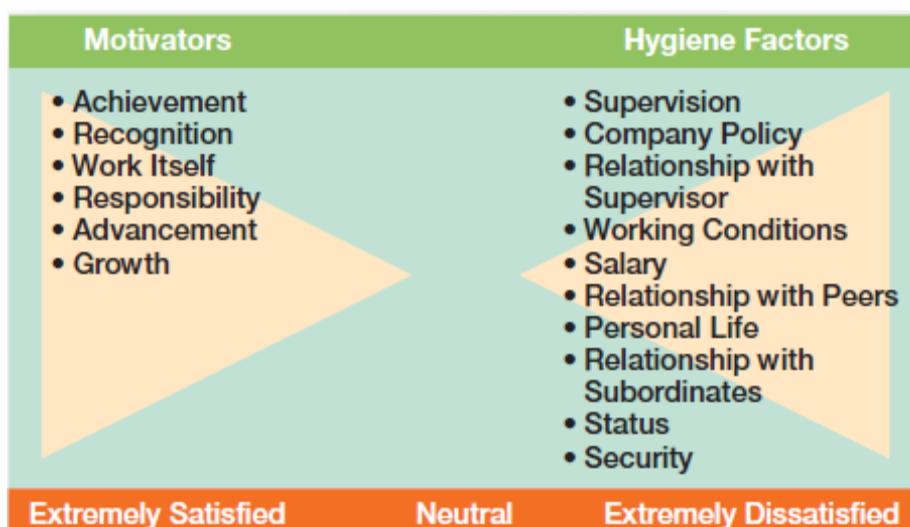
3. HERZBERG'S TWO – FACTOR THEORY OF MOTIVATION

Herzberg, in his **two-factor theory**, Herzberg identifies two sets of factors that impact motivation in the workplace.

These are:

- Hygiene factors or dissatisfiers
 - Motivating factors or satisfier
- a. **Hygiene factors:** include salary, job security, working conditions, organizational policies, and technical quality of supervision. Although these factors do not motivate employees, they can cause dissatisfaction if they are missing. Something as simple as adding music to the office place or implementing a no-smoking policy can make people less dissatisfied with these aspects of their work. However, these improvements in hygiene factors do not necessarily increase satisfaction.
- b. **Satisfiers or motivators:** include such things as responsibility, achievement, growth opportunities, and feelings of recognition. They are the key to job satisfaction and motivation. For example, managers can find out what people really do in their jobs and make improvements, thus increasing job satisfaction and performance.

Following Herzberg's two-factor theory, managers need to ensure that hygiene factors are adequate and then build satisfiers into jobs.



4. ALDERFER'S ERG THEORY

Clayton Alderfer's **ERG (Existence, Relatedness, and Growth) theory** is built upon Maslow's hierarchy of needs theory. To begin his theory, Alderfer collapses Maslow's five levels of needs into three categories.

a. Existence needs are desires for physiological and material well-being. (In terms of Maslow's model, existence needs include physiological and safety needs)

b. Relatedness needs are desires for satisfying interpersonal relationships. (In terms of Maslow's model, relatedness correspondence to social needs)

c. Growth needs are desires for continued psychological growth and development. (In terms of Maslow's model, growth needs include esteem and self-realization needs). This approach proposes that unsatisfied needs motivate behavior, and that as lower level needs are satisfied, they become less important.

Higher level needs, though, become more important as they are satisfied, and if these needs are not met, a person may move down the hierarchy, which Alderfer calls the *frustration-regression principle*. What he means by this term is that an already satisfied lower level need can become reactivated and influence behavior when a higher level need cannot be satisfied. As a result, managers should provide opportunities for workers to capitalize on the importance of higher level needs.

II. REINFORCEMENT THEORY

The reinforcement theory, based on E. L. Thorndike's law of effect, simply looks at the relationship between behavior and its consequences. This theory focuses on modifying an employee's on-the-job behavior through the appropriate use of one of the following four techniques:

Positive reinforcement rewards desirable behavior. Positive reinforcement, such as a pay raise or promotion, is provided as a reward for positive behavior with the intention of increasing the probability that the desired behavior will be repeated.

Avoidance is an attempt to show an employee what the consequences of improper behavior will be. If an employee does not engage in improper behavior, he or she will not experience the consequence.

Extinction is basically ignoring the behavior of a subordinate and not providing either positive or negative reinforcement. Classroom teachers often use this technique when they ignore students who are "acting out" to get attention. This technique should only be used when the supervisor perceives the behavior as temporary, not typical, and not serious.

Punishment (threats, docking pay, and suspension) is an attempt to decrease the likelihood of a behavior recurring by applying negative consequences.

The reinforcement theory has the following implications for management:

- Learning what is acceptable to the organization influences motivated behavior.
- Managers who are trying to motivate their employees should be sure to tell individuals what they are doing wrong and be careful not to reward all individuals at the same time.
- Motivation theories cont'd
- Managers must tell individuals what they can do to receive positive reinforcement.
- Managers must be sure to administer the reinforcement as closely as possible to the occurrence of the behavior.
- Managers must recognize that failure to reward can also modify behavior. Employees who believe that they deserve a reward and do not receive it will often become disenchanted with both their manager and company.

MOTIVATION STRATEGIES

To some extent, a high level of employee motivation is derived from effective management practices. To develop motivated employees, a manager must treat people as individuals, empower workers, provide an effective reward system, redesign jobs, and create a flexible workplace.

1. Empowering employees

Empowerment occurs when individuals in an organization are given autonomy, authority, trust, and encouragement to accomplish a task. Empowerment is designed to unshackle the worker and to make a job the worker's responsibility. In an attempt to empower and to change some of the old bureaucratic ideas, managers are promoting corporate intrapreneurships. **Intrapreneurship** encourages employees to pursue new ideas and gives them the authority to promote those ideas. Obviously, intrapreneurship is not for the timid, because old structures and processes are turned upside down.

2. Providing an effective reward system

Managers often use rewards to reinforce employee behavior that they want to continue. A *reward* is a work outcome of positive value to the individual. Organizations are rich in rewards for people whose performance accomplishments help meet organizational objectives. People receive rewards in one of the following two ways:

a. Extrinsic rewards are externally administered. They are valued outcomes given to someone by another person, typically a supervisor or higher level manager. Common workplace examples are pay bonuses, promotions, time off, special assignments, office fixtures, awards, verbal praise, and so on. In all cases, the motivational stimulus of extrinsic rewards originates outside the individual.

b. Intrinsic rewards are self-administered. Think of the "natural high" a person may experience after completing a job. That person feels good because she has a feeling of competency, personal development, and self-control over her work. In contrast to extrinsic rewards, the motivational stimulus of intrinsic rewards is internal and doesn't depend on the actions of other people.

To motivate behavior, the organization needs to provide an effective reward system. An effective reward system has four elements:

- Rewards need to satisfy the basic needs of all employees.
- Rewards need to be included in the system and be comparable to ones offered by a competitive organization in the same area.
- Rewards need to be available to people in the same positions and be distributed fairly and equitably.
- The overall reward system needs to be multifaceted. Because all people are different, managers must provide a range of rewards—pay, time off, recognition, or promotion. In addition, managers should provide several different ways to earn these rewards. This last point is worth noting. With the widely developing trend toward empowerment e.g., in American industry, many employees and employers are beginning to view traditional pay systems as inadequate. In a traditional system, people are paid according to the positions they hold, not the contributions they make. As organizations adopt approaches built upon teams, customer satisfaction, and empowerment, workers need to be paid differently. Many companies have already responded by designing numerous pay plans, designed by employee design teams, which base rewards on skill levels.

Rewards demonstrate to employees that their behavior is appropriate and should be repeated. If employees don't feel that their work is valued, their motivation will decline.

3. Redesigning jobs

Many people go to work every day and go through the same, unenthusiastic actions to perform their jobs. These individuals often refer to this condition as burnout. But smart managers can do something to improve this condition before an employee becomes bored and loses motivation.

The concept of *job redesign*, which requires knowledge of and concern for the human qualities people bring with them to the organization, applies motivational theories to the structure of work for improving productivity and satisfaction.

When redesigning jobs, managers look at both job scope and job depth. Redesign attempts may include the following:

- a. Job enlargement
 - b. Job rotation
 - c. Job enrichment
- a. **Job enlargement.** Often referred to as *horizontal job loading*, job enlargement increases the variety of tasks a job includes. Although it doesn't increase the quality or the challenge of those tasks, job enlargement may reduce some of the monotony, and as an employee's boredom decreases, his or her work quality generally increases.
- b. **Job rotation.** This practice assigns people to different jobs or tasks to different people on a temporary basis. The idea is to add variety and to expose people to the dependence that one job has on other jobs. Job rotation can encourage higher levels of contributions and renew interest and enthusiasm. The organization benefits from a cross-trained workforce.

c. **Job enrichment.** Also called *vertical job loading*, this application includes not only an increased variety of tasks, but also provides an employee with more responsibility and authority. If the skills required to do the job are skills that match the jobholder's abilities, job enrichment may improve morale and performance.

4. Creating flexibility

Today's employees value personal time. Because of family needs, a traditional eight-to-five workday may not work for many people. Therefore, **flextime**, which permits employees to set and control their own work hours, is one way that organizations are accommodating their employees' needs. The following are some other options organizations are trying as well:

a. A **compressed workweek** is a form of flextime that allows a full-time job to be completed in less than the standard 40-hour, five-day work-week. Its most common form is the 4/40 schedule, which gives employees three days off each week. This schedule benefits the individual through more leisure time and lower commuting costs. The organization should benefit through lower absenteeism and improved performance. Of course, the danger in this type of scheduling is the possibility of increased fatigue.

b. **Job sharing** or **twinning** occurs when one full-time job is split between two or more persons. Job sharing often involves each person working one-half day, but it can also be done on weekly or monthly sharing arrangements. When jobs can be split and shared, organizations can benefit by employing talented people who would otherwise be unable to work full-time. The qualified employee who is also a parent may not want to be in the office for a full day but may be willing to work a half-day. Although adjustment problems sometimes occur, the arrangement can be good for all concerned.

c. **Telecommuting**, sometimes called *flexi place*, is a work arrangement that allows at least a portion of scheduled work hours to be completed outside of the office, with work-at-home as one of the options. Telecommuting frees the jobholder from needing to work fixed hours, wearing special work attire, enduring the normal constraints of commuting, and having direct contact with supervisors. Home workers often demonstrate increased productivity, report fewer distractions, enjoy the freedom to be their own boss, and appreciate the benefit of having more time for themselves. Of course, when there are positives, there are also negatives. Many home workers feel that they work too much and are isolated from their family and friends. In addition to the feelings of isolation, many employees feel that the lack of visibility at the office may result in the loss of promotions.

Leader Vs Manager:

A leader is one who influences the behavior and work of others in group efforts towards achievement of specified goals in a given situation. On the other hand, manager can be a true manager only if he has got traits of leader in him.

Manager at all levels are expected to be the leaders of work groups so that subordinates willingly carry instructions and accept their guidance. A person can be a leader by virtue of all qualities in him.

Basis	Manager	Leader
Origin	A person becomes a manager by virtue of his position.	A person becomes a leader on basis of his personal qualities.
Formal Rights	Manager has got formal rights in an organization because of his status.	Rights are not available to a leader.
Followers	The subordinates are the followers of managers.	The group of employees whom the leaders leads are his followers.
Functions	A manager performs all five functions of management.	Leader influences people to work willingly for group objectives.
Necessity	A manager is very essential to a concern.	A leader is required to create cordial relation between person working in and for organization.
Stability	It is more stable.	Leadership is temporary.
Mutual Relationship	All managers are leaders.]	All leaders are not managers.
Accountability	Manager is accountable for self and subordinates behaviour and performance.	Leaders have no well defined accountability.
Concern	A manager's concern is organizational goals.	A leader's concern is group goals and member's satisfaction.
Followers	People follow manager by virtue of job description.	People follow them on voluntary basis.
Role continuation	A manager can continue in office till he performs his duties satisfactorily in congruence with organizational goals.	A leader can maintain his position only through day to day wishes of followers.
Sanctions	Manager has command over allocation and distribution of sanctions.	A leader has command over different sanctions and related task records. These sanctions are essentially of informal nature.